Registration number: 03664605

Merlin Cinemas Limited

Annual Report and Financial Statements

for the Period from 29 March 2024 to 3 April 2025



Merlin Cinemas Limited

Contents

Company Information	1
Strategic Report	2 to 7
Directors' Report	8
Statement of Directors' Responsibilities	9
Independent Auditor's Report	10 to 13
Profit and Loss Account	14
Statement of Comprehensive Income	15
Balance Sheet	16
Statement of Changes in Equity	17
Statement of Cash Flows	18
Notes to the Financial Statements	19 to 34

Merlin Cinemas Limited

Company Information

Directors

Mr G Greaves
Mr C May
Mr C Lawrence
Mrs D Wren

Registered office
Regal Cinema & Theatre
Fore Street
Redruth
Cornwall
TR15 2AZ

Auditors
BK Plus Audit Limited
3 Chapel Street
Redruth
Cornwall
TR15 2BY

Merlin Cinemas Limited

Strategic Report for the Period from 29 March 2024 to 3 April 2025

The directors present their strategic report for the period from 29 March 2024 to 3 April 2025.

Principal activity
The principal activity of the company is the operation of cinemas.

Fair review of the business

Merlin Cinemas proudly operates 19 independent cinemas spanning from Land's End to John O'Groats, with a strong concentration in Devon and Cornwall, largely in rural and coastal communities. Alongside our cinemas, we run the thriving live theatre at The Regal in Redruth and six bars and restaurants, each contributing both financially and culturally to the company's footprint. Our mission remains to deliver exceptional big-screen and live entertainment experiences, while ensuring the business remains resilient, sustainable, and deeply rooted in the communities we serve. This report sets out our performance over the past year, the challenges faced, and the opportunities ahead in a film exhibition sector that continues to evolve.

Industry and Economic Context
Since the pandemic, the cinema industry has continued on its path of recovery, though the pace has been irregular. In 2024, the disruption caused by prolonged writers' and actors' strikes in the US meant a thinner release schedule in the first half of the year, with many films delayed into late 2024 and 2025. While this dampened admissions in early 2024, it did result in a stronger slate for the rest of the year and beyond, with several highly anticipated blockbusters driving huge numbers back to cinemas.

Economic conditions have remained difficult this past fiscal year. Although inflation has eased from its 2022 peak, utility and energy costs remain elevated, continuing to strain operating expenses. That said, with the majority of our energy contracts up for renewal in the coming months, initial negotiations indicate the likelihood of a considerable saving. Payroll costs also rose sharply following the April 2024 increase in the National Minimum Wage. From April 2025, further rises in the National Minimum Wage, alongside imminent changes to National Insurance thresholds, place additional pressure on our labour costs. At the same time, higher interest rates continue to weigh on our borrowing, though it is encouraging to see them gradually starting to decline.

These financial pressures are compounded by our commitment to maintaining high standards of service and customer experience in a challenging economic climate. Meeting these challenges will require continued strategic adjustments and a focus on operational efficiency to protect the company's long-term sustainability.

Streaming platforms continue to compete for audiences' attention, but there is growing recognition among studios that theatrical releases are essential for building awareness and long-term value. The return of cinema-first release strategies is encouraging for our business model, particularly given the strong box office performance of major titles in late 2024.

Despite cost-of-living pressures, cinema remains one of the most affordable forms of out-of-home entertainment, and its resilience in previous downturns has again proven to be the case. Families and younger audiences, in particular, continue to view cinema as an accessible leisure activity.

Merlin Cinemas Limited

Strategic Report for the Period from 29 March 2024 to 3 April 2025

Company Performance and Strategy

Admissions and Programming
Business levels continue to show volatility, with the industry still navigating peaks and troughs in the release schedule. However, late 2024 and early 2025 have demonstrated once again that when the right films are available, audiences return in large numbers to enjoy the big screen experience. Standout successes in this period include Deadpool & Wolverine, Inside Out 2, Paddington in Peru, Gladiator II, and Wicked, all of which drew significant admissions across our circuit. These strong results reinforce confidence in our business model, even if overall product flow and attendance levels remain less consistent than in the pre-pandemic era.

The company continues to maintain strong and strategic relationships with a wide range of distributors, ensuring a varied slate of new films. The industry remains defined by a handful of box office giants which dominate annual revenues, while a broader mix of mid-tier releases contribute essential variety to the programming mix. It is well recognised that a limited number of titles generate the majority of the UK's annual box office, with the first week of release often accounting for a disproportionately high share of a film's total revenue. Securing these films for their opening week remains a priority across our locations.

Event cinema remains an important part of our programme, adding valuable diversity and attracting audiences beyond traditional film releases. Highlights from late 2024 and early 2025 included Les Misérables, Macbeth featuring David Tennant, André Rieu's Christmas Concert, NT Live: Prima Facie, and The Royal Ballet and Opera's The Nutcracker. These screenings delivered strong attendances and underlined the role of cinema as a cultural hub, giving local communities access to world-class performances that might otherwise be out of reach.

Our programming has also continued to benefit from more localised content, Q&A sessions, and repertory screenings through our Big Movie Deal strand, all of which have demonstrated strong demand for nostalgia-led and event-driven experiences.

Together, these factors contributed to an admissions increase of more than 10% compared with the 2023/24 financial year.

Financial Resilience and Operations
Over the past year, we have further improved operational efficiency through targeted investment in our technology platforms. Enhancements to the Admit One box office system, combined with our ongoing use of Showtime Analytics, have delivered valuable real-time insights into customer behaviour and streamlined our ticketing processes. This has enabled us to better understand audience preferences, optimise programming schedules, and respond more effectively to demand.

At the same time, our Staffology payroll software has continued to ensure reliable and accurate payroll management, while Quickbooks provides robust financial oversight, detailed reporting, and seamless transaction tracking. Together, these systems have strengthened both our administrative processes and financial governance. These advancements have played a central role in supporting our growth, reducing inefficiencies, and ensuring the smooth day-to-day running of the business across all locations.

Our Movie Magic Discount Card, priced at £15 annually, continues to play a vital role in building loyalty and encouraging repeat visits across our circuit. Cardholders enjoy a minimum saving of £2.00 per ticket alongside 10% off all food and drink purchases, benefits that are especially valued by our regular customers. Membership has now grown to around 43,000 active cardholders, up from 37,000 last year, though still below the pre-COVID peak of 70,000.

Recognising the impact of ongoing cost-of-living pressures, we have deliberately refrained from significant price increases. In addition, our Super Saver Sunday's initiative, pricing the final screenings of every Sunday at just £5, has been highly successful in both raising admissions and generating goodwill in local communities.

To further support families who may be more financially challenged, we have our value-driven offering with the Mini Movie Deal. For just £3.99, customers receive admission along with a junior popcorn and drink, making cinema both affordable and accessible. The initiative has been especially effective at boosting admissions during quieter weekends and early morning slots, helping us attract new audiences and ensure consistent footfall across our sites. Its popularity reinforces our commitment to keeping the big-screen experience within reach for all audiences, regardless of economic circumstance.

Income from admissions and venue hires at the Regal Theatre in Redruth has recovered more quickly than our cinema operations, with many live shows selling out. Performances have ranged from local stage and operatic productions to tribute acts, touring comedians, and original artists. This side of the business has been an important lifeline during periods of disruption to film releases and continues to generate additional revenue through the theatre's restaurant and bars.

Across the group, our bars and restaurants remain a valuable contributor, enhancing the overall customer experience and positioning our venues as full leisure destinations. Concessions also play a critical role in profitability, with per-customer spending rising notably at sites where kiosks and bars have been refurbished. This upgrade programme will be extended further in the coming year. Strong supplier relationships remain central to sustaining margins and service standards.

We also continue to benefit from our long-standing partnership with DCM, our screen advertising partner. Despite industry-wide budget pressures, confidence in cinema advertising remains strong, with revenues expected to return to return to pre-COVID levels in line with admissions. Cinemas offer advertisers a uniquely engaged audience, delivering reach and impact that represent strong value.

New Venues and Refurbishments

While no new cinema acquisitions were completed during the year, the company has focused its efforts on the restoration of the former Ritz bingo hall in Penzance, which was purchased in July 2013. This significant redevelopment project is returning the landmark Art Deco building to its original character and will establish it as a destination venue for live events, including theatre, comedy, music, and cinema. The opening was September 2025.

The reopening of the Plaza Cinema in Weston-Super-Mare (December 2023) and the Astoria Cinema in Ayr (March 2024) represented significant steps forward for the group. Both venues underwent foyer refurbishments, installation of new kiosks, and external upgrades, supported in part by local council grants. The 2025 financial year marks their first full trading period, with the Astoria Ayr already emerging as a particularly strong contributor to group performance.

Elsewhere, improvements completed during 2023/24, including the reseating of Movieplex Cromer and the addition of a fourth screen at New Central Torquay, have already shown clear benefits by driving higher per-customer spending and stronger admissions. Looking ahead, we remain committed to further refurbishment across the circuit in 2025 while also evaluating opportunities to expand the estate where it is commercially sustainable.

Outlook

The company continues to benefit from a seasoned senior management team, primarily based at our headquarters in Redruth, Cornwall. All key operational functions are managed internally, including accounts, programming, catering, technical and IT support, marketing, and customer services, while specialised services such as legal advice and certain accounting functions are outsourced as required. In line with the company's growth, we have also expanded our team, strengthening capability across IT, Accounts, and Marketing to ensure we are well positioned to support future development. The business remains under the experienced leadership of two directors with extensive expertise in cinema exhibition, and from the beginning of the new financial year two long-standing employees were appointed as company directors, further reinforcing the depth and continuity of our leadership.

The cinema industry continues to face significant structural pressures, with many larger operators struggling under the weight of unsustainable rent commitments, reduced admissions, rising energy and staffing costs, and higher interest rates on substantial debt. In contrast, Merlin's smaller scale, community-based model, supported by a portfolio that is largely freehold, provides greater resilience. By offering a more personal and locally focused customer experience, our cinemas are well positioned to benefit from these shifts in market dynamics and to weather the challenges currently affecting the wider sector.

The outlook for the 2025/26 financial year appears positive, with a strong slate of tentpole releases expected to drive audience demand. Titles such as Minecraft: The Movie, Lilo & Stitch, Jurassic World: Rebirth, The Salt Path, and Mission: Impossible – The Final Reckoning are anticipated to perform well across our cinemas. With this line-up and a more consistent spread of releases throughout the year, admissions in 2025/26 are forecast to be around 10% higher than in 2024/25.

Looking ahead, while wider economic pressures remain, cinema-going is expected to retain its position as one of the most affordable forms of out-of-home entertainment. The industry has historically proven resilient during periods of financial uncertainty, and we believe this enduring appeal will continue to support admissions in the year ahead.

The company's key financial and other performance indicators during the period were as follows:

Financial KPIs	**Unit**	**2025**	**2024**
Increase/(decrease) in turnover	£	1,568,236	1,470,003
Gross profit margin	%	64	62
Profit/(loss) before taxation	£	671,585	93,819

Principal risks and uncertainties

The following are the identified principal risks and uncertainties facing the business:

Increasing employment costs

The cinema and catering business is very labour intensive, with few opportunities to increase productivity, yet with constantly increasing wage costs. The National Minimum Wage increases pose challenges especially in the smaller less profitable sites. Salary increases for full time staff especially, result in the need to increase pay rates throughout the team in order to avoid resentment caused by eroded differentials. Along with company pension contributions, there continues to be a constant upward pressure on payroll costs. Increased employment costs, cannot easily be passed on by raising ticket prices which could be detrimental to the business.

Energy costs

Whilst forward purchasing of energy has helped to defer some of the worst increases in electricity and gas costs, at least for the past year, contracts are subject to periodic review and undoubtedly, we will have to sign up for increased unit costs this year at some locations, eating further into sometimes slim profits. Oil used for heating two of our larger venues has more than doubled in price that may well result in offering fewer performances in order to reduce opening hours at these locations in the winter months.

Interest rates
Greatly increased interest rates this last year have placed a heavy financial burden on companies of all sizes with borrowings, reducing the cash available for acquisitions and improvements. We must hope that rates start to reduce to a more reasonable and stable level. It is not however likely we will see a return to the cheap borrowing costs of recent years.

Alternative media
The rise of social media, online streaming of films sometimes concurrent with cinema release, and the availability of so much home screen entertainment generally creates a threat to attendances. Film distributors may decide to release their films through alternative channels other than exhibition at cinemas more frequently, or at least sooner in the distribution cycle. The cinema industry has long been required to work beside the existence of home media and has proven its ability to adapt and co-exist alongside this. The company has invested at many sites in improvements intended to enhance the "cinema experience". Better seating, improved picture and sound quality, the ability to enjoy good food in adjacent company restaurants and licencing all of the company screens (so audiences can enjoy a glass of wine or a beer whilst watching a film) are all aimed at encouraging people to see films at the cinema and to persuade the distributors to maintain their relationship with cinemas as the primary channel for releases.

Weather conditions
Unusual or extreme weather patterns, for example unseasonably warm summers or severe snowfall in winter, can impact upon audience numbers. Where this coincides with major film releases, the impact can be very significant. The company, with mainly coastal locations, is much more affected by the vagaries of the weather than most cinema groups. It can, however, be either a very positive, or negative factor. We continue to increase and invest the number of our screens with air conditioning offering customers greater comfort during warm weather.

Film piracy
Film piracy is an ever-changing and very damaging threat to the film industry due to constantly-evolving technologies and the availability of smaller, and therefore less detectable, recording devices. However, most piracy takes place at studio level or at big city centre cinemas, small independents are less frequently targeted for illicit recordings. Nevertheless, we train staff to be vigilant for any recording in our cinemas and have over several years thwarted attempts at piracy.

Failure of information technology
The industry is, especially following digitalisation, more reliant than ever on the use of good IT systems for the delivery of films via the internet, the acceptance of payment (increasingly online or by card transactions at site), and internet-based live communication between cinemas and the support office hub. A failure in technology could impact upon the company's profitability and reputation. The company invests in the regular maintenance of systems and in thorough training of all staff involved in using these systems.

Selection of new locations
The company is always looking for appropriate potential new locations in which to expand. The selection of a poor location, or of a site of poor construction, is likely to result in lower activity and therefore difficulty in receiving returns on that investment. The management of the company are experienced in the choice of location and development of new sites.

Financial instruments

Objectives and policies

The company finances its operations through a mixture of retained profits and bank borrowings. When managing the financial risks faced by the company, the directors aim to retain sufficient liquid funds to enable it to meet its day-to-day obligations as they fall due whilst maximising returns on surplus finds and match the repayment schedule of any external borrowings or overdrafts with the future cash flows expected.

Hedge accounting is not used by the company.

Merlin Cinemas Limited

Strategic Report for the Period from 29 March 2024 to 3 April 2025

Price risk, credit risk, liquidity risk and cash flow risk

a) Price Risk – The Directors of the company actively manage price risk by means of constant review of cost bases and negotiating agreements with suppliers. Film hire is set and non-negotiable.

b) Credit Risk – The Directors of the company actively manage credit risk by means of continual monitoring of customer credit and use of internal credit control.

c) Liquidity Risk – The company actively maintains a mixture of long-term and short-term debt finance that is designed to ensure the company has sufficient available funds for operations and planned expansion.

d) Cash Flow Risk – The company has interest-bearing liabilities and has selected a mixture of short and longer-term liabilities to ensure that the company can meet its working capital requirements. The directors will revisit the appropriateness of this policy should the company's situation change.

Employment of disabled persons

It is the company's policy to give full and fair consideration to suitable applications for employment by disabled persons.

The company is an equal opportunities employer providing employment and development opportunities to suitably skilled people regardless of age, race, colour, religion, gender, sexual orientation, ethnic origin, nationality, marital status or disability.

Disabled employees are eligible to participate in all suitable career development opportunities available to staff. Opportunities also exist for employees of the company who become disabled to continue in employment or to be trained for other positions in the company.

Approved and authorised by the Board on 24/10/25 and signed on its behalf by:

.....
Mr C May
Director

.....
Mr G Greaves
Director

Merlin Cinemas Limited

Directors' Report for the Period from 29 March 2024 to 3 April 2025

The directors present their report and the financial statements for the period from 29 March 2024 to 3 April 2025.

Directors of the company

The directors who held office during the period were as follows:

Mr G Greaves

Mr C May

The following directors were appointed after the period end:

Mr C Lawrence (appointed 1 May 2025)

Mrs D Wren (appointed 1 May 2025)

Strategic Report

A fair review of the business, details of the principal risks facing the business and the company's policies to address those risks are set out within the Strategic Report.

Going concern

In preparing and approving these financial statements the Directors have given due consideration to going concern risks. Following the COVID 19 pandemic trading conditions have started to return to normal, however there are still some ongoing after effects.

After due consideration, the Directors consider that there are no material uncertainties about the company's ability to continue as a going concern and are satisfied that the company will be able to operate within the available facilities for the foreseeable future, being a period no less than twelve months from the date of approval of these financial statements.

Directors' liabilities

The company has taken out qualifying third party indemnity insurance in respect of the directors and officers of the company.

Disclosure of information to the auditors

Each director has taken steps that they ought to have taken as a director in order to make themselves aware of any relevant audit information and to establish that the company's auditors are aware of that information. The directors confirm that there is no relevant information that they know of and of which they know the auditors are unaware.

Reappointment of auditors

In accordance with section 485 of the Companies Act 2006, a resolution for the re-appointment of BK Plus Audit Limited as auditors of the company is to be proposed at the forthcoming Annual General Meeting.

Approved and authorised by the Board on 24/10/25 and signed on its behalf by:

.....
Mr C May
Director

.....
Mr G Greaves
Director

Merlin Cinemas Limited

Statement of Directors' Responsibilities

The directors acknowledge their responsibilities for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable United Kingdom Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Merlin Cinemas Limited

Independent Auditor's Report to the Members of Merlin Cinemas Limited

Opinion

We have audited the financial statements of Merlin Cinemas Limited (the 'company') for the period from 29 March 2024 to 3 April 2025, which comprise the Profit and Loss Account, Statement of Comprehensive Income, Balance Sheet, Statement of Changes in Equity, Statement of Cash Flows, and Notes to the Financial Statements, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland (United Kingdom Generally Accepted Accounting Practice).

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 3 April 2025 and of its profit for the period then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the auditor responsibilities for the audit of the financial statements section of our report. We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the director's use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the company's ability to continue as a going concern for a period of at least twelve months from when the original financial statements were authorised for issue.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Other information

The directors are responsible for the other information. The other information comprises the information included in the annual report, other than the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether there is a material misstatement in the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Independent Auditor's Report to the Members of Merlin Cinemas Limited

Opinion on other matter prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the Strategic Report and Directors' Report for the financial period for which the financial statements are prepared is consistent with the financial statements; and
- the Strategic Report and Directors' Report have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception

In the light of our knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified material misstatements in the Strategic Report and the Directors' Report.

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of directors

As explained more fully in the Statement of Directors' Responsibilities [set out on page 9], the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditor Responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below:

Independent Auditor's Report to the Members of Merlin Cinemas Limited

We obtained an understanding of the legal and regulatory frameworks that are applicable to the company at the planning stage of the audit. The company is subject to laws and regulations that directly affect the financial statements, specifically the Companies Act 2006. We assessed the extent of compliance with these laws and regulations as part of our procedures on the related financial statement items. The company is also subject to laws and regulations where the consequences of non-compliance could have a material effect on amounts or disclosures in the financial statements, for instance through the imposition of fines or litigation or loss of the company's ability to operate. In making this assessment we determined that the most significant elements of legislation include those relating to employment laws and regulations, health and safety standards and video piracy.

Based on this understanding we designed our audit procedures to identify non-compliance with such laws and regulations. Our procedures involved the following:

- Making enquiries of management regarding their knowledge of any non-compliance with laws and regulations that could affect the financial statements. As part of these enquiries, we also discussed with management changes in risk assessment relating to fraud, and whether there have been any known instances, allegations or suspicions of fraud.

- Considering the filings made at Companies House and any omissions thereon.

- Discussing with management compliance with health and safety legislation.

- Making enquiries of management and reviewing company expenditure for any evidence of disputes, actual or potential litigations and claims, with regulators or any other such body.

- Audited the risk of management override of controls, including through testing of journal entries and other adjustments for appropriateness, and evaluating the rationale for significant transactions outside the normal course of trading activities, of which there were none.

- Reviewed estimates and judgements made in the financial statements for any indication of bias and challenged assumptions used by management in making the estimates.

Due to the inherent limitations of an audit, there remains a risk that we may have not detected some material misstatements in the financial statements or non-compliance with laws and regulations. This is despite the fact that we have properly planned and performed our audit in accordance with auditing standards. For example, the further removed irregularities are from the events and transactions reflected in the financial statements, the less likely the inherently limited procedures required by auditing standards would identify it. As with any audit, there remained a high risk of non-detection of irregularities, as these may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls. This risk was reduced by a thorough review of all controls in place that monitor items and transactions affecting the financial statements. The primary responsibility for the prevention and detection of irregularities and fraud rests with the directors of the company.

All relevant laws, regulations, and significant risks of fraud identified have been clearly communicated to each member of the audit engagement team.

We are not responsible for preventing non-compliance and cannot be expected to detect non-compliance with all laws and regulations.

A further description of our responsibilities is available on the Financial Reporting Council's website at: www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Merlin Cinemas Limited

Independent Auditor's Report to the Members of Merlin Cinemas Limited

Use of our report

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

BK Plus

David Hastings FMAAT ACA (Senior Statutory Auditor)
For and on behalf of BK Plus Audit Limited, Statutory Auditor

3 Chapel Street
Redruth
Cornwall
TR15 2BY

24/10/25

Merlin Cinemas Limited

Profit and Loss Account for the Period from 29 March 2024 to 3 April 2025

	Note	29 March 2024 to 3 April 2025 £	31 March 2023 to 28 March 2024 £
TURNOVER	3	11,120,796	9,552,560
Cost of sales		(4,051,197)	(3,600,962)
GROSS PROFIT		7,069,599	5,951,598
Administrative expenses		(6,086,212)	(5,525,434)
Other operating income	4	15,005	5,000
OPERATING PROFIT	5	998,392	431,164
Other interest receivable and similar income	6	21,266	21,887
Interest payable and similar charges	7	(348,073)	(359,232)
		(326,807)	(337,345)
PROFIT BEFORE TAX		671,585	93,819
Taxation	11	(200,834)	(51,183)
PROFIT FOR THE FINANCIAL YEAR		470,751	42,636

The above results were derived from continuing operations.

The company has no recognised gains or losses for the period other than the results above.

Merlin Cinemas Limited

Statement of Comprehensive Income for the Period from 29 March 2024 to 3 April 2025

	2025 £	2024 £
Profit for the period	470,751	42,636
Total comprehensive income for the period	470,751	42,636

Merlin Cinemas Limited

(Registration number: 03664605)
Balance Sheet as at 3 April 2025

	Note	2025 £	2024 £
Fixed assets			
Intangible assets	12	30,782	55,559
Tangible assets	13	12,484,341	11,687,932
Investment property	14	603,150	603,150
Investments	15	2	2
Other financial assets	16	5	5
		13,118,280	12,346,648
Current assets			
Stocks	17	455,376	461,610
Debtors	18	876,830	913,935
Cash at bank and in hand		1,383,138	952,874
		2,715,344	2,328,419
Creditors: Amounts falling due within one year	20	(2,003,293)	(1,403,524)
Net current assets		712,051	924,895
Total assets less current liabilities		13,830,331	13,271,543
Creditors: Amounts falling due after more than one year	20	(5,190,814)	(5,123,398)
Provisions for liabilities	21	(491,495)	(440,874)
Net assets		8,148,022	7,707,271
Capital and reserves			
Called up share capital		1,000	1
Retained earnings	24	8,147,022	7,707,270
Shareholders' funds		8,148,022	7,707,271

Approved and authorised by the Board on 24/10/25 and signed on its behalf by:

.....
Mr G Greaves
Director

.....
Mr C May
Director

Merlin Cinemas Limited

Statement of Changes in Equity for the Period from 29 March 2024 to 3 April 2025

	Share capital £	Retained earnings £	Total £
At 29 March 2024	1	7,707,270	7,707,271
Profit for the period	-	470,751	470,751
Dividends	-	(30,000)	(30,000)
Bonus issue of shares from reserves	999	(999)	-
At 3 April 2025	1,000	8,147,022	8,148,022

	Share capital £	Retained earnings £	Total £
At 31 March 2023	1	7,694,634	7,694,635
Profit for the period	-	42,636	42,636
Dividends	-	(30,000)	(30,000)
At 28 March 2024	1	7,707,270	7,707,271

Merlin Cinemas Limited

Statement of Cash Flows for the Period from 29 March 2024 to 3 April 2025

	Note	2025 £	2024 £
Cash flows from operating activities			
Profit for the period		470,751	42,636
Adjustments to cash flows from non-cash items			
Depreciation and amortisation	5	360,021	332,776
Profit on disposal of tangible assets		(968)	-
Loss from sales of investment properties		-	-
Finance income	6	(21,266)	(21,887)
Finance costs	7	348,073	359,232
Income tax expense	11	200,834	51,183
		1,357,445	763,940
Working capital adjustments			
(Increase)/decrease in stocks	17	6,234	(14,806)
(Increase)/decrease in trade debtors	18	37,105	(121,396)
(Decrease)/increase in trade creditors	20	423,312	(164,778)
Increase in deferred income, including government grants		279,683	546,068
Cash generated from operations		2,103,779	1,009,028
Income taxes paid	11	-	(17,078)
Net cash flow from operating activities		2,103,779	991,950
Cash flows from investing activities			
Interest received	6	21,266	21,887
Acquisitions of tangible assets		(1,142,785)	(540,492)
Proceeds from sale of tangible assets		12,100	-
Proceeds from sale of investment properties		-	-
Disposal of unlisted shares		-	-
Net cash flows from investing activities		(1,109,419)	(518,605)
Cash flows from financing activities			
Interest paid	7	(348,073)	(359,232)
Proceeds from bank borrowing draw downs		-	4,800,000
Repayment of bank borrowing		(186,023)	(5,058,893)
Dividends paid	27	(30,000)	(30,000)
Net cash flows from financing activities		(564,096)	(648,125)
Net (decrease)/increase in cash and cash equivalents		430,264	(174,780)
Cash and cash equivalents at 29 March		952,874	1,127,654
Cash and cash equivalents at 3 April		1,383,138	952,874

Merlin Cinemas Limited

Notes to the Financial Statements for the Period from 29 March 2024 to 3 April 2025

1 General information

The company is a private company limited by share capital, incorporated in England and Wales.

The address of its registered office is:
Regal Cinema & Theatre
Fore Street
Redruth
Cornwall
TR15 2AZ
England

These financial statements comprise Merlin Cinemas Limited only. The sole subsidiary is a dormant company and exempt from consolidation under section 405.

2 Accounting policies

Summary of significant accounting policies and key accounting estimates
The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

Statement of compliance
These financial statements were prepared in accordance with Financial Reporting Standard 102 'The Financial Reporting Standard applicable in the UK and Republic of Ireland' and the Companies Act 2006.

Basis of preparation
These financial statements have been prepared using the historical cost convention except that as disclosed in the accounting policies certain items are shown at fair value.

The company has elected to draw up its accounts to the nearest Thursday to the 31st March each year. This will be no more than seven days before or after the accounting reference date.

These financial statements are presented in sterling which is the functional currency of the company. Monetary amounts in these financial statements are rounded to the nearest whole £1.

Going concern
In preparing and approving these financial statements the Directors have given due consideration to going concern risks. External trading conditions have almost returned to normal with the government lifting all pandemic restrictions.

While the cost of living crisis may impact profitability the Directors consider that there are no material uncertainties about the company's ability to continue as a going concern and are satisfied that the company will be able to operate within the available facilities for the foreseeable future, being a period no less than twelve months from the date of approval of these financial statements.

Judgements

In the application of the company's accounting policies, the directors are required to make judgements, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from those estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if the revision affects both current and future periods.

During the course of preparing the accounts the following key estimates were made by the directors; The ongoing values of the investment properties have been reviewed with the decision made that no change to the values should be recognised in the year. The directors consider all of the debts to be fully recoverable so no provision has been made.

Revenue recognition

Turnover comprises the fair value of the consideration received or receivable for the sale of goods and provision of services in the ordinary course of the company's activities. Turnover is shown net of sales/value added tax, returns, rebates and discounts.

The company recognises revenue from these streams when: The amount of revenue can be reliably measured; it is probable that future economic benefits will flow to the entity; and specific criteria have been met for each of the company's activities.

The main source of revenue for the company is Cinema Ticket sales. These sales are recognised on the date of the screening, this being the date when the ticket becomes non-refundable. A provision has been made for advanced ticket sales, being where customers have booked and paid for tickets in advance of the screening.

Restaurant and concession revenue is recognised when the transfer of the goods to the customer has occurred.

Income from sales of property stock have been included in turnover figure. Property sales income is recognised on the date of unconditional sale.

Other income of the company includes; Theatre booking fees, Advertising income, Sale of gift cards, Rental of various commercial and residential properties.

Government grants

Government grants are recognised at fair value when there is reasonable assurance that the company will comply with the conditions attaching to them and the grants will be received. Grants related to the purchase of assets are treated as deferred income and allocated to the Profit and Loss Account over the useful lives of the related assets while grants related to expenses are treated as Other operating income in the Profit and Loss Account.

Tax

The tax expense for the period comprises current and deferred tax. Tax is recognised in profit or loss, except that a change attributable to an item of income or expense recognised as other comprehensive income is also recognised directly in other comprehensive income.

The current income tax charge is calculated on the basis of tax rates and laws that have been enacted or substantively enacted by the reporting date in the countries where the company operates and generates taxable income.

Deferred income tax is recognised on temporary timing differences between the tax bases of assets and liabilities and their carrying amounts in the financial statements and on unused tax losses or tax credits. Deferred income tax is determined using the tax rates and laws that have been enacted or substantively enacted by the reporting date and that are expected to apply to the reversal of the timing difference.

Unrelieved tax losses and other deferred tax assets are recognised when it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits.

Tangible assets
Tangible assets are stated in the balance sheet at cost, less any subsequent accumulated depreciation and subsequent accumulated impairment losses.

The cost of tangible assets includes directly attributable incremental costs incurred in their acquisition and installation.

Depreciation
Freehold buildings are depreciated on a straight line basis over 100 years. Given that the buildings are kept in full repair the directors consider whether the residual value is no less than the cost each year and include a depreciation charge accordingly.

In the year of purchase a reduced rate of depreciation is used when appropriate to reflect the length of time in the year that the asset is in use.

Depreciation is charged so as to write off the cost of assets, other than land and properties under construction over their estimated useful lives, as follows:

Asset class	Depreciation method and rate
Plant and machinery	15% on a straight line basis (additions after 1 April 2021) & 15% on a reducing balance basis (additions before 1 April 2021)
Motor vehicles	25% on a reducing balance basis
Office equipment	33% on a reducing balance basis
Digitalisation costs	10% on cost on a straight line basis
Short leasehold property	Straight line basis over the length of the lease
Freehold buildings	1% per annum on cost
Freehold land	Not depreciated, owing to indefinite useful economic life

Investment property
Investment property is carried at fair value, derived from the current market prices for comparable real estate determined annually by the directors. The directors use observable market prices, adjusted if necessary for any difference in the nature, location or condition of the specific asset. Changes in fair value are recognised in profit or loss.

Goodwill
Goodwill arising on the acquisition of an entity represents the excess of the cost of acquisition over the company's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities of the entity recognised at the date of acquisition. Goodwill is initially recognised as an asset at cost and is subsequently measured at cost less accumulated amortisation and accumulated impairment losses. Goodwill is held in the currency of the acquired entity and revalued to the closing rate at each reporting period date. Goodwill is amortised over its useful life, which shall not exceed ten years if a reliable estimate of the useful life cannot be made.

Intangible assets
Intangible assets are stated in the statement of financial position at cost, less any subsequent accumulated amortisation and subsequent accumulated impairment losses.

Amortisation
Amortisation is provided on intangible assets so as to write off the cost, less any estimated residual value, over their useful life as follows:

Asset class	Amortisation method and rate
Goodwill	10 years on a straight line basis

Investments
Investments in equity shares which are publicly traded or where the fair value can be measured reliably are initially measured at fair value, with changes in fair value recognised in profit or loss. Investments in equity shares which are not publicly traded and where fair value cannot be measured reliably are measured at cost less impairment.

Interest income on debt securities, where applicable, is recognised in income using the effective interest method. Dividends on equity securities are recognised in income when receivable.

Cash and cash equivalents
Cash and cash equivalents comprise cash on hand and call deposits, and other short-term highly liquid investments that are readily convertible to a known amount of cash and are subject to an insignificant risk of change in value.

Trade debtors
Trade debtors are amounts due from customers for merchandise sold or services performed in the ordinary course of business.

Trade debtors are recognised initially at the transaction price. They are subsequently measured at amortised cost using the effective interest method, less provision for impairment. A provision for the impairment of trade debtors is established when there is objective evidence that the company will not be able to collect all amounts due according to the original terms of the receivables.

Inventories
Stocks are stated at the lower of cost and estimated selling price less costs to sell, after due regard for slow moving stocks.

Finished goods are stated at cost and comprises direct materials and direct labour costs and those overheads that have been incurred in bringing the inventories to their present condition.

Creditors
Trade creditors are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Accounts payable are classified as current liabilities if the company does not have an unconditional right, at the end of the reporting period, to defer settlement of the creditor for at least twelve months after the reporting date. If there is an unconditional right to defer settlement for at least twelve months after the reporting date, they are presented as non-current liabilities.

Trade creditors are recognised initially at the transaction price and subsequently measured at amortised cost using the effective interest method.

Borrowings
Interest-bearing borrowings are initially recorded at fair value, net of transaction costs. Interest-bearing borrowings are subsequently carried at amortised cost, with the difference between the proceeds, net of transaction costs, and the amount due on redemption being recognised as a charge to the profit and loss account over the period of the relevant borrowing.

Interest expense is recognised on the basis of the effective interest method and is included in interest payable and similar charges.

Borrowings are classified as current liabilities unless the company has an unconditional right to defer settlement of the liability for at least twelve months after the reporting date.

Provisions
Provisions are recognised when the company has an obligation at the reporting date as a result of a past event, it is probable that the group will be required to settle that obligation and a reliable estimate can be made of the amount of the obligation.

Leases
Leases in which substantially all the risks and rewards of ownership are retained by the lessor are classified as operating leases. Payments made under operating leases are charged to profit or loss on a straight-line basis over the period of the lease.

Share capital
Ordinary shares are classified as equity. Equity instruments are measured at the fair value of the cash or other resources received or receivable, net of the direct costs of issuing the equity instruments. If payment is deferred and the time value of money is material, the initial measurement is on a present value basis.

Dividends
Dividend distribution to the company's shareholders is recognised as a liability in the financial statements in the reporting period in which the dividends are declared.

Defined contribution pension obligation
A defined contribution plan is a pension plan under which fixed contributions are paid into a pension fund and the company has no legal or constructive obligation to pay further contributions even if the fund does not hold sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods.

Contributions to defined contribution plans are recognised as employee benefit expense when they are due. If contribution payments exceed the contribution due for service, the excess is recognised as a prepayment.

Financial instruments
Classification
Financial assets are classified into either basic or other financial assets. Financial liabilities are classified into either basic or other financial liabilities. These classifications depend on certain criteria determined at the time of recognition.

The company holds only basic financial instruments.

Recognition and measurement
Financial instruments are recognised when the company becomes party to the contractual provisions of the instrument and derecognised when in the case of assets, the contractual rights to cash flows from the assets expire or substantially all the risks and rewards of ownership are transferred to another party, or in the case of liabilities, when the companies obligations are discharged, expire or are cancelled.

Basic financial assets, which include trade and other debtors, cash and bank balances, are initially measured at transaction price including transaction costs and are subsequently carried at amortised cost using the effective interest method, unless the arrangement constitutes a financing transaction, where the transaction is initially measured at the present value of the future receipts discounted at a market rate of interest and subsequently held at amortised cost.

Basic financial liabilities, including trade and other payables are initially measured at transaction price, unless the arrangement constitutes a financing transaction where the debt instrument is measured at the present value of the future payments discounted at a market rate of interest. They are subsequently measured at amortised cost using the effective interest method, with interest expense recognised on an effective yield basis.

The effective interest method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate discounts estimated future cash payments through the expected life of the financial liability to the net carrying amount in initial recognition.

Impairment
Basic financial assets are assessed for indicators of impairment at each reporting date.

Financial assets are impaired where there is objective evidence that, as a result of one or more events that occurred after the initial recognition of the financial asset, the estimated future cash flows have been affected. The impairment loss is recognised in profit or loss.

3 Turnover

The analysis of the company's revenue for the period from continuing operations is as follows:

	2025 £	2024 £
Sale of goods and services	11,018,772	9,463,165
Rental income from investment property	102,024	89,395
	11,120,796	9,552,560

4 Other operating income

The analysis of the company's other operating income for the period is as follows:

	2025 £	2024 £
Government grants	15,005	5,000

The grants recognised in the financial statements consisted of amounts receivable relating to; The Levelling Up Fund to go towards shopfront improvements at Plaza Cinema (£5,730) and The High Streets Heritage Action Zone Scheme funding to go towards shopfront improvements at Plaza Cinema (£1,500) and the Town Centre Business Relief Programme for works at Astoria Cinema (£7,775).

5 Operating profit

Arrived at after charging/(crediting)

	2025 £	2024 £
Depreciation expense	335,244	307,999
Amortisation expense	24,777	24,777
Operating lease expense - property	122,688	107,134
Operating lease expense - plant and machinery	2,390	1,689
Profit on disposal of property, plant and equipment	(968)	-

6 Other interest receivable and similar income

	2025 £	2024 £
Interest income on bank deposits	21,266	21,851
Other finance income	-	36
	21,266	21,887

7 Interest payable and similar expenses

	2025 £	2024 £
Interest on bank overdrafts and borrowings	348,073	359,232

8 Staff costs

The aggregate payroll costs (including directors' remuneration) were as follows:

	2025 £	2024 £
Wages and salaries	3,431,173	3,049,927
Social security costs	201,064	174,851
Pension costs, defined contribution scheme	50,498	44,891
Contributions to Directors SIPP	-	63,000
	3,682,735	3,332,399

The average number of persons employed by the company (including directors) during the period, analysed by category was as follows:

	2025 No.	2024 No.
Administration and support	14	14
Marketing	2	1
Other departments	290	272
	306	287

9 Directors' remuneration

The directors' remuneration for the period was as follows:

	2025 £	2024 £
Remuneration	23,275	23,088
Contributions paid to money purchase schemes	263	63,256
	23,538	86,344

10 Auditors' remuneration

	2025 £	2024 £
Audit of the financial statements	16,850	15,950

11 Taxation

Tax charged/(credited) in the income statement

	2025 £	2024 £
Current taxation		
UK corporation tax	150,213	-
Deferred taxation		
Arising from origination and reversal of timing differences	50,621	51,183
Tax expense in the income statement	200,834	51,183

The tax on profit before tax for the period is the same as the standard rate of corporation tax in the UK (2024 - the same as the standard rate of corporation tax in the UK) of 25% (2024 - 25%).

The differences are reconciled below:

	2025 £	2024 £
Profit before tax	671,585	93,819
Corporation tax at standard rate	167,896	23,455
Effect of revenues exempt from taxation	(3,751)	(1,259)
Effect of expense not deductible in determining taxable profit (tax loss)	9,035	2,322
Deferred tax expense (credit) relating to changes in tax rates or laws	50,621	51,183
Effect of tax losses	(1,896)	-
Tax increase (decrease) from effect of capital allowances and depreciation	(21,071)	(26,421)
Tax increase (decrease) from effect of unrelieved tax losses carried forward	-	1,903
Total tax charge	200,834	51,183

Deferred tax

Deferred tax assets and liabilities

2025	**Liability £**
Accelerated capital allowance	491,495
	491,495

2024	**Liability £**
Accelerated capital allowance	440,874
	440,874

Notes to the Financial Statements for the Period from 29 March 2024 to 3 April 2025

12 Intangible assets

	Goodwill £	Other intangible assets £	Total £
Cost or valuation			
At 29 March 2024	476,175	6,000	482,175
At 3 April 2025	476,175	6,000	482,175
Amortisation			
At 29 March 2024	426,616	-	426,616
Amortisation charge	24,777	-	24,777
At 3 April 2025	451,393	-	451,393
Carrying amount			
At 3 April 2025	24,782	6,000	30,782
At 29 March 2024	49,559	6,000	55,559

13 Tangible assets

	Land and buildings £	Furniture, fittings and equipment £	Motor vehicles £	Digitalisation costs £	Total £
Cost					
At 29 March 2024	10,968,010	4,204,745	85,431	1,330,805	16,588,991
Additions	826,729	307,656	8,400	-	1,142,785
Disposals	-	(12,100)	-	-	(12,100)
At 3 April 2025	11,794,739	4,500,301	93,831	1,330,805	17,719,676
Depreciation					
At 29 March 2024	501,899	3,008,894	59,461	1,330,805	4,901,059
Charge for the period	121,114	205,538	8,592	-	335,244
Eliminated on disposal	-	(968)	-	-	(968)
At 3 April 2025	623,013	3,213,464	68,053	1,330,805	5,235,335
Carrying amount					
At 3 April 2025	11,171,726	1,286,837	25,778	-	12,484,341
At 28 March 2024	10,466,111	1,195,851	25,970	-	11,687,932

Included within the net book value of land and buildings above is £10,823,367 (2024 - £10,176,904) in respect of freehold land and buildings and £348,359 (2024 - £289,207) in respect of leasehold improvements.

14 Investment properties

	2025 £
At 29 March 2024	603,150
At 3 April 2025	603,150

There has been no valuation of investment property by an independent valuer. The Directors consider investment properties are shown at their fair value.

15 Investments

	2025 £	2024 £
Investments in subsidiaries	2	2

Subsidiaries	£
Cost or valuation	
At 3 April 2025	2
Provision	
Carrying amount	
At 3 April 2025	2
At 28 March 2024	2

Details of undertakings

Details of the investments (including principal place of business of unincorporated entities) in which the company holds 20% or more of the nominal value of any class of share capital are as follows:

Undertaking	Registered office	Holding	Proportion of voting rights and shares held	
			2025	2024
Subsidiary undertakings				
S and K Entertainment Ltd	Regal Theatre & Cinema Fore Street Redruth Cornwall TR15 2AZ England and Wales	Ordinary Shares	100%	100%

Subsidiary undertakings

S and K Entertainment Ltd

The principal activity of S and K Entertainment Ltd is dormant company.

For the year ending 31 March 2025 the subsidiary S and K Entertainment Ltd was dormant and entitled to exemption from audit.

16 Other financial assets (current and non-current)

	Financial assets at fair value through profit and loss £	Total £
Non-current financial assets		
Cost or valuation		
Additions	5	5
At 29 March 2024	5	5
Impairment		
Carrying amount		
At 3 April 2025	5	5

17 Stocks

	2025 £	2024 £
Finished goods and goods for resale	246,918	246,918
Other inventories	208,458	214,692
	455,376	461,610

'Finished goods and goods for resale' represents the cost of properties for sale.

18 Debtors

Current	2025 £	2024 £
Trade debtors	86,328	117,444
Other debtors	634,603	656,192
Prepayments	120,587	117,400
Accrued income	35,312	22,899
	876,830	913,935

19 Cash and cash equivalents

	2025 £	2024 £
Cash on hand	30,706	34,058
Cash at bank	752,432	918,816
Short-term deposits	600,000	-
	1,383,138	952,874

20 Creditors

	Note	2025 £	2024 £
Due within one year			
Loans and borrowings	25	253,490	241,939
Trade creditors		891,355	441,609
Amounts due to related parties	29	122,172	134,145
Social security and other taxes		303,049	224,880
Outstanding defined contribution pension costs		8,933	9,727
Other payables		17,452	12,879
Accrued expenses		235,868	332,277
Corporation tax liability	11	150,213	-
Deferred income		20,761	6,068
		2,003,293	1,403,524
Due after one year			
Loans and borrowings	25	4,385,824	4,583,398
Deferred income		804,990	540,000
		5,190,814	5,123,398

21 Provisions for liabilities

	Deferred tax £	Total £
At 29 March 2024	440,874	440,874
Increase (decrease) in existing provisions	50,621	50,621
At 3 April 2025	491,495	491,495

22 Pension and other schemes

Defined contribution pension scheme

The company operates a defined contribution pension scheme. The pension cost charge for the period represents contributions payable by the company to the scheme and amounted to £50,498 (2024 - £44,891).

One director benefits from the defined contribution pension scheme. The amount of the charge relating to the director is £263 (2024 - £256).

Contributions totalling £8,933 (2024 - £9,727) were payable to the scheme at the end of the period and are included in creditors.

23 Share capital

Allotted, called up and fully paid shares

	2025		2024	
	No.	£	No.	£
Ordinary shares of £1 each	1,000	1,000	1	1

Rights, preferences and restrictions

Ordinary shares have the following rights, preferences and restrictions:
The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the company. All ordinary shares rank equally with regard to the company's residual assets.

New shares allotted

During the period 999 Ordinary shares having an aggregate nominal value of £999 were allotted for an aggregate consideration of £nil. This was a bonus issue from reserves at par value.

24 Reserves

Profit and loss account

The profit and loss account represents cumulative profit or losses, net of dividends paid and other adjustments.

25 Loans and borrowings

	2025	2024
	£	£
Non-current loans and borrowings		
Bank borrowings	4,385,824	4,583,398

	2025	2024
	£	£
Current loans and borrowings		
Bank borrowings	185,490	173,939
Other borrowings	68,000	68,000
	253,490	241,939

Bank borrowings

Bank term loan 1 is denominated in sterling with a nominal interest rate of 2.35% above base rate, and the final instalment is due on 6 November 2028. The carrying amount at period end is £4,571,314 (2024 - £4,757,337).

The above bank loan is secured via a floating charge on the property and undertakings of the company.

26 Obligations under leases and hire purchase contracts

Operating leases
The total of future minimum lease payments is as follows:

	2025 £	2024 £
Not later than one year	92,103	97,010
Later than one year and not later than five years	251,667	240,411
Later than five years	248,333	176,692
	592,103	514,113

The amount of non-cancellable operating lease payments recognised as an expense during the period was £120,467 (2024 - £104,213).

27 Dividends

	2025 £	2024 £
Interim dividend of £30.00 (2024 - £30,000.00) per ordinary share	30,000	30,000

28 Commitments

Capital commitments
The total amount contracted for but not provided in the financial statements was £nil (2024 - £125,523).

29 Related party transactions

	2025 £	2024 £
Mr Geoffrey Greaves		
Dividends paid	30,000	30,000

Summary of transactions with other related parties

Onscreen Magazine Limited
Mr G Greaves and Mr C May are directors of both Onscreen Magazine Limited and Merlin Cinemas Limited.
During the year, Merlin Cinemas Limited recharged costs totalling £13,441 (2024: £10,013) (including VAT) to Onscreen Magazine Limited. At the Balance Sheet date, the amount owing to Merlin Cinemas Limited from Onscreen Magazine Limited was £19,894 (2024: £33,335), repayable at call.

Inn Angarrack Limited
Mr G Greaves is a director of both Inn Angarrack Limited and Merlin Cinemas Limited.
During the year, Merlin Cinemas LImited recharged costs totalling £140,529 (2024: £126,272) (including VAT) to Inn Angarrack Limited and received repayments of £174,200 (2024: £141,730). At the Balance Sheet date, the amount owing to Merlin Cinemas Limited by Inn Angarrack Limited was £355 (2024: £34,026), repayable at call.

K & G Developments St Ives Limited
Mr G Greaves is a director of both K & G Developments St Ives Limited and Merlin Cinemas Limited.
During the year, Merlin Cinemas Limited recharged costs totalling £36,652 (2024: £22,768) (including VAT) to K & G Developments St Ives Limited. At the Balance Sheet date, the amount owing to Merlin Cinemas Limited by K & G Developments St Ives Limited was £606,460 (2024: £569,808), repayable at call.

Savoy Court (Penzance) Management Company Limited
Mr G Greaves and Mr C May are directors of both Savoy Court (Penzance) Management Company Limited and Merlin Cinemas Limited.
During the year, Merlin Cinemas Limited recharged costs of £5,628 (2024: £6,460) (including VAT) and received repayments of £6,722 (2024: £798). During the year, Merlin Cinemas Limited made payments to Savoy Court (Penzance) Management Company Limited with respect to service charges relating to the properties owned by Merlin Cinemas Limited. These payments were made under normal market conditions. At the Balance Sheet date, the amount owing to Merlin Cinemas Limited from Savoy Court (Penzance) Management Company Limited was £4,568 (2024: £5,662), repayable at call.

30 Financial instruments

Categorisation of financial instruments

	2025 £	2024 £
Financial assets that are debt instruments measured at amortised cost	2,103,569	1,726,012
Financial liabilities measured at amortised cost	(5,509,407)	(5,484,280)

Items of income, expense, gains or losses

2025	Income £	Expense £	Net gains £	Net losses £
Financial assets measured at amortised cost	21,266	-	-	-
Financial liabilities measured at amortised cost	-	348,073	-	-
	21,266	348,073	-	-

2024	Income £	Expense £	Net gains £	Net losses £
Financial assets measured at amortised cost	21,851	-	-	-
Financial liabilities measured at amortised cost	-	359,232	-	-
	21,851	359,232	-	-